Skills Funding Agency

European Union
European Social Fund

ACCESS TO MUSIC LIMITED
Heath Mill Studios
68 Heath Mill Lane
Digbeth
Birmingham
B9 4AR

Company No. 02749258

29 July 2015

Variation to Contract for Services (Education and Training) - ASE-39327

I am writing to inform you that the post of Chief Executive of Skills Funding has been abolished by the Deregulation Act 2015 and all the rights and liabilities in the Contract for Services (Education and Training) ("the Contract") made between the Chief Executive of Skills Funding ("THE CHIEF EXECUTIVE"), and your organisation ("THE CONTRACTOR") have been transferred to the Secretary of State for Business, Innovation and Skills (BIS) acting through the Skills Funding Agency (THE SFA).

I am also writing to inform you that THE SFA is proposing to vary the Contract. The key changes have been outlined below and a full copy of the revised Contract for 2015 to 2016 will be published shortly on the SFA website on GOV.UK. If you require a copy of the revised Contract prior to publication it can be requested from your Central Delivery Service Adviser (there is no need to sign and return a revised Contract).

Variation Details:

Clause 1.6 has been added

1.6 "Local Enterprise Partnership (LEP)" means a formalised partnership between local authorities to determine local economic priorities and lead economic growth and job creation within its area.

Clause 2.1 has been amended

2.1 The Contract shall commence on 1 August 2015 and terminate on 31 July 2017.

Clause 3.1 has been amended

3.1 THE SFA and THE CONTRACTOR will each nominate a contact for the purpose of dealing with queries and issues under this Contract and advise the other of the contact details.

Clauses 3.2 and 3.3 have been deleted.

Clause 4.3 has been added

4.3 THE CONTRACTOR must provide evidence that it has worked in partnership with the LEP to ensure that the delivery of the Services takes account of the LEP's local economic and skills priorities.

Clause 5.7 has been amended

5.7 THE CONTRACTOR shall make payment to any sub-contractor within 30 days of receiving a valid claim for payment and ensure that any sub-contract entered into for the purpose of delivering the Services under this Contract contains a term giving effect to this requirement.

Clause 5.8 has been added

5.8 Where THE CONTRACTOR enters into sub-contracts for purpose of delivering the Services under this Contract with an aggregate value of £100,000 or more in any one Contract year, it must obtain an annual report from its external auditors which provides assurance on the arrangements that THE CONTRACTOR has in place to manage and control its sub-contractors. The report must comply with the guidance issued from time to time by THE SFA. THE CONTRACTOR must supply THE SFA with a certificate signed by its external auditors and an authorised signatory confirming it has received a report providing satisfactory assurance. THE SFA reserves the right to require THE CONTRACTOR to provide a copy of the full report.

Clause 8.11 has been added

8.11 THE CONTRACTOR shall ensure that it complies with its duty to have due regard to the need to prevent Learners from being drawn into terrorism in accordance with s26 of the Counter-Terrorism and Security Act 2015 and the guidance published by the Secretary of State.

Clause 13.7 has been amended

13.7 Where THE SFA carries out a review, investigation or audit of a sample of the evidence which THE CONTRACTOR is required to provide under the Contract to support the payments made by THE SFA and identifies errors in that evidence which it deems are material, THE SFA reserves the right at its absolute discretion to require THE CONTRACTOR to carry out 100% audit of all or part of the Services and/or to recover from THE CONTRACTOR an amount based on the error rate identified and the total value of the Contract. Such amounts may be recovered by making adjustments to data submitted by THE CONTRACTOR under the Contract, or by raising an invoice for payment by THE CONTRACTOR, or making deductions from future payments due to THE CONTRACTOR under the Contract. Failure to settle such amounts by THE CONTRACTOR will constitute a Serious Breach under Clause 21 of the Contract. The decision of THE SFA as to the amount of recovery under this Clause is final.

Clause 17.4 has been removed because this functionality is switched off in the Data Collection system.

Clause 17.11 has been added

17.11 THE CONTRACTOR must submit data about any member of its workforce delivering GCSE English and Maths in the format and to the timescales as required by THE SFA.

Clauses 20.3 and 20.5 have been deleted to reflect that all publicity material specifies that the ESF logo **must** be displayed.

Clause 33.1 has been amended

33.1 Any dispute, difference or question arising between the Parties either during the currency of the Contract or afterwards shall be referred to the nominated contacts for THE SFA and THE CONTRACTOR for discussion and review in order to try to resolve the same.

Clause 33.2 has been amended

33.2 In the event of the nominated contacts being unable to resolve the relevant issue, either party may request in writing that the matter is referred to THE SFA's nominated representative and THE CONTRACTOR'S representative nominated for this purpose (jointly "the Dispute Resolution Panel") for formal review and consideration. Any request for referral to the Dispute Resolution Panel must include details of the dispute and any proposals to resolve it.

The contract reference number has been amended from ASE-39327 to SFA-3409.

Appendix 1: The updated Summary of Programme Funding 2015/16.

Appendix 2: The updated individual Funding Agreement(s).

ESF Match Funding 2015/16

The following funding programmes are eligible to be used by THE SFA as Match Funding for the 2014-20 European Social Fund (ESF) programme:

- Adult Skills Budget
  - Workplace Learning
  - Apprenticeships
  - Classroom Based Skills Support for the Unemployed
  - Traineeships

- 16-18 Apprenticeships

There are clauses within the 2015 to 2016 Contract that detail the requirements placed on THE CONTRACTOR'S whose funding is used for this purpose. The attached letter titled ESF Match Funding 2015/16 provides further details of what is required under the terms of your Contract.

Please acknowledge your agreement by printing off, signing and returning **one** copy of this variation to Ciaran Delacey at the address on this letter by 12 August 2015.

Once the variation has been received, we will countersign it and return a scanned copy to you for your records via The Hub. Should you prefer a hard copy of the variation please return two signed copies to us.

The revisions will take effect from 1 August 2015 as a variation of the Contract. All other provisions of Contract shall remain unaltered and continue in force as before.

A signed variation letter is necessary for funding to be claimed for the Services.

If you have any questions about this variation, please contact your Skills Funding Agency Central Delivery Service Advisor.

Authorised Signatory on behalf of THE CONTRACTOR

Signature ..... Position .....

Name ..... Date .....

Authorised signatory for THE SFA

Signature ..... Head of Central Delivery Service Centre

Name ..... Date .....